

CAPITAL MARKETS

Self-Storage Refi Shows Debt Is Available for the Right Basis, Not the Right Sector

A \$42.5M loan for two Miami-area self-storage properties reveals how lenders are underwriting supply constraints, not asset class narratives.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in the \$42.5 million refinancing of UTEX Storage Partners' two-property self-storage portfolio is not the loan amount. It is the location: Coral Gables and Pembroke Pines, two Miami-area submarkets where new self-storage supply is genuinely constrained.

Affinius Capital and Axonic Capital provided the debt, their fifth joint origination. Greysteel's Daniel Hartnett arranged the transaction. The Pembroke Pines facility will be four stories with 1,097 units. The Coral Gables facility will expand from just under 1,000 units to 1,500 following the refinancing.

The transaction matters because it shows that self-storage lending is not a sector-wide phenomenon. It is a submarket-specific one. Lenders are not writing checks for self-storage because they believe in the asset class. They are writing checks because they can underwrite supply constraints, population growth, and a sponsor with a track record.

Tyler Figley, Affinius Capital senior vice president, described both assets as institutional-quality and noted that the two cities are supply-constrained for self-storage and have exhibited sustained population growth. That is not marketing language. It is underwriting language.

Self-storage has long been a favorite of private capital because of its operating characteristics: low tenant turnover, minimal tenant improvement costs, and resilient demand across economic cycles. But those characteristics only matter if the asset sits in a market where new supply cannot easily erode pricing power.

Miami has been a beneficiary of population inflows from higher-tax states, and the supply of developable land in Coral Gables and Pembroke Pines is limited. That combination creates a barrier to entry that lenders can underwrite. The loan is not a bet on self-storage. It is a bet on that barrier.

The capital stack here is straightforward: a single loan from two private credit providers. Affinius Capital, formerly USAA Real Estate, brings institutional underwriting discipline. Axonic Capital, a hedge fund with a real estate credit focus, brings flexibility and speed. The joint structure allows both firms to deploy capital in a deal that might be too small for either alone but fits their portfolio needs

when combined.

This is the fifth such joint origination between the two firms, which suggests a repeat borrower relationship and a streamlined underwriting process. For UTEX Storage Partners, the refinancing buys time and provides capital for expansion. The Coral Gables facility will grow by roughly 500 units, a meaningful increase that will require additional leasing and stabilization risk.

The market signal is narrower than it appears. This is not evidence that self-storage debt is broadly available. It is evidence that debt is available for assets with a defensible basis in supply-constrained submarkets, sponsored by operators who can execute. That is a different statement.

For owners of self-storage assets in markets with active new supply, the lesson is uncomfortable. Lenders are not underwriting the sector. They are underwriting the local supply-demand balance. If new facilities are being built in your submarket, your refinancing options will be more limited and more expensive.

For lenders, the transaction reinforces a shift that has been underway since 2023: underwriting is becoming more granular. The days of lending against a sector thesis are over. Lenders want to see the specific barriers to entry, the specific population growth trajectory, and the specific sponsor capability. Generic underwriting is gone.

The open question is how long this discipline lasts. If private credit continues to flow into real estate, competition for deals could erode underwriting standards. But for now, the market is rewarding specificity. The Coral Gables and Pembroke Pines assets got financed because they sit in submarkets where the supply story is credible. That is the standard, and it is the right one.

The next test for self-storage owners will be whether they can replicate this structure in markets with more supply. If they cannot, the sector will bifurcate: assets in constrained submarkets will trade at lower cap rates and attract cheaper debt, while assets in competitive submarkets will face higher costs and thinner liquidity.

That bifurcation is already visible in office and multifamily. Self-storage is now joining the pattern.

The loan is not proof that self-storage is back. It is proof that basis and location still decide who gets capital.

SOURCES

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<https://commercialobserver.com/2026/07/affinius-capital-axonic-capital-refi-miami-self-storage/>

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